

Government underfunding will keep Open RAN marginal, benefiting Huawei

送信者: EG Geo-technology 受信日時: 2026-08-04 01:56

【メール原文】

Governments remain committed to Open RAN in public statements, but have not matched words with resources. Open RAN uses software to enable the use of |||||

Geo-technology

Customize Email Preferences

Government underfunding will keep Open RAN marginal, benefiting Huawei

3 Aug 2026 12:51 EDT Discover more on the Portal

*

The US and a group of allies will continue to push Open Radio Access Network (Open RAN) as an alternative architecture for telecom networks.

*

Nonetheless, Open RAN deployments are likely to remain limited, as governments fail to resource Open RAN sufficiently, limiting testing and commercialization.

*

The modest outlook for Open RAN deployments will continue to discourage market entrants, and Huawei, the current market leader, stands to gain.

Governments remain committed to Open RAN in public statements, but have not matched words with resources. Open RAN uses software to enable the use of multiple vendors in a single wireless network, in contrast to the single-vendor model typical in traditional networks. This approach lowers costs and opens the market to new entrants. During President Donald Trump's first administration, policies favoring Open RAN's adoption accelerated, positioning Open RAN as an alternative to Huawei 5G by preventing vendor lock-in and single-supplier security risks.

In December 2025, members of the Global Coalition on Telecommunications—the US, Australia, Canada, Japan, and the UK—reaffirmed their support for Open RAN technologies at the International Open RAN Symposium in Tokyo and in the 6G Security and Resilience Principles, which aim to shape future 6G standards. Different countries have different rationales: The US sees its software leadership as an asset; Canada and the UK seek opportunities for small vendors; and Japan cites nascent commercial success in Japan and Southeast Asia. The Trump administration has publicly expressed its support through the US-Japan Joint Leaders' Statement, the National Telecommunications and Information Administration (NTIA), and the US Department of Defense (DoD)'s FutureG office.

Despite the supportive public statements, governments have provided only modest funding for Open RAN pilot projects and testing. In July 2025, Senator Ted Cruz (R-TX) stripped \$850 million of funding for Open RAN initiatives from the One Big Beautiful Bill Act. NTIA Administrator Arielle Roth has since signaled a shift from 5G and Open RAN toward AI-RAN; NTIA's recent Public Wireless Innovation Fund notice of funding opportunity reflects that pivot. Meanwhile, the closure of the US Agency for International Development and cutbacks in other countries' development aid have created further

uncertainty over future support for Open RAN.

As a result, Open RAN deployments remain limited. In 2019, 21% of operators were in the early phases of deploying open networking technologies, including Open RAN. Six years later, that share had grown by only 1 percentage point. Open RAN represented just 7%-10% of global RAN revenue in 2024.

The Pentagon is the best potential source of new Open RAN funding in the US. The Pentagon received \$500 million (for fiscal years 2027-2029) from the One Big Beautiful Bill Act for its FutureG office. While the DoD has not yet identified funding priorities, Open RAN projects will likely top the list, given the agency's bullish stance on the technology. Other opportunities to secure Open RAN funding in the US exist, including through the National Defense Authorization Act.

Without funding, commercialization remains difficult. Government funding is necessary to spur Open RAN development, since few market incentives exist for companies to develop the technology. Commercial entities—especially those with a dominant position in the telecommunications infrastructure market—have little incentive to dedicate significant funding for Open RAN projects and testing, as Open RAN could upend the market they currently dominate. Government funding would reduce market entry risk for companies to invest in Open RAN, since the commercial viability of the technology is still largely uncertain.

Open RAN's dim adoption outlook will benefit Huawei in the foreseeable future. In the next five years, the outlook for Open RAN deployments remains unfavorable, as governments, especially the US, allocate even less funding for Open RAN projects. However, modest gains in Open RAN deployments are possible and likely to gain traction in Japan, where operators have had commercial success deploying Open RAN networks, and in select markets in the US, which is not advancing its own 5G infrastructure solution.

As a result, Open RAN's limited global market adoption is likely to cement Huawei's market leadership, especially in emerging markets, where Open RAN has been positioned as a cost-effective alternative to traditional RAN offerings. 5G deployment is ongoing worldwide but has had limited deployments in current Huawei strongholds, including Southeast Asia, Latin America, Africa, and the Middle East. Given Huawei's competitive pricing and limited US pressure to adopt trusted providers in these geographies, countries in these regions are likely to adopt Huawei 5G, increasing Huawei's market share globally.

Carisa Nietzsche

Senior Analyst, Geo-technology

+1 202.540.5127

nietsche@eurasiagroup.net

Scott Bade

Senior Analyst, Geo-technology

+1 202.540.5140

bade@eurasiagroup.net

EG Geo-technology

geo-technology@eurasiagroup.net

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such

purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-HG-DocID cm5c91mg157vz07lsqkb0f2jf

[Opt Out](#) | [Customize Email Preferences](#)